Business Finance - Set 1

50 MCQs - 1 mark each - answers and explanations are at the end

> Choose the single best option. Do not look at the last pages until you finish.

1. If the coupon rate is less than the market yield, the bond sells at a
A. double its face value
B. discount
C. premium
D. par

2. The present value of a perpetuity is
A. A x (1 + i)
B. A / (1 + i)
C. A x i
D. A / i

3. ARR on average investment is calculated as
A. net present value / average investment x 100 over the life
B. average annual PAT / average investment x 100
C. average annual cash inflow / initial investment x 100 less depreciation
D. total cash inflow over the life / initial investment x 100

4. An annuity is a series of
A. loans with no repayment
B. equal cash flows at regular intervals
C. unequal cash flows at irregular intervals
D. one-time payments

5. With DOL = 2 and DFL = 1.33, the combined leverage is about
A. 2.67
B. 0.67
C. 3.33
D. 1.5

6. The pecking order of financing is
A. hybrid securities, internal funds, new equity, debt
B. new equity, hybrid securities, debt, internal funds
C. internal funds, debt, hybrid securities, new equity
D. debt, new equity, internal funds, hybrid securities

7. An annuity due, compared with an ordinary annuity, has payments at the
A. middle of each period
B. end of the life only
C. beginning of each period
D. end of each period

8. Two rates give a positive and a negative NPV and you need the rate where NPV is zero. Which formula?
A. Payback
B. NPV
C. IRR by interpolation
D. ARR

9. A bond pays no interest and is redeemed for ₹1,000 after 2 years. Which formula?
A. V = I / kd
B. V = I x PVIFA + F x PVIF
C. FV = PV x (1 + i)^n
D. V = F / (1 + kd)^n

10. Deciding the debt-equity ratio is an example of the
A. liquidity decision
B. financing decision
C. investment decision
D. dividend decision

11. The future value of Rs 5,000 deposited at the end of each year for 4 years at 8% is about
A. Rs 22,530
B. Rs 20,000
C. Rs 16,560
D. Rs 27,000

12. The three broad decisions of the finance function are
A. recruitment, training and appraisal
B. investment, financing and dividend
C. planning, staffing and directing
D. production, sales and purchase

13. WACC uses
A. only the cost of equity of the firm, ignoring debt and preference capital
B. the simple average of the costs of all the sources of finance
C. the cost of the latest source of finance raised by the firm
D. weights of each source multiplied by its cost

14. You will receive ₹13,310 after 3 years and want its worth today at 10%. Which formula?
A. PV = FV / (1 + i)^n
B. FV = PV x (1 + i)^n
C. ke = D1/P0 + g
D. PVA = A x [(1 - (1+i)^-n)/i]

15. An investment of Rs 1,00,000 with equal annual inflows of Rs 25,000 has a payback period of
A. 3 years
B. 2.5 years
C. 5 years
D. 4 years

16. The present value of Rs 1,000 a year for 3 years at 10% is approximately
A. Rs 3,000
B. Rs 2,487
C. Rs 3,310
D. Rs 2,000

17. EBIT rises 10% and you want the effect on EPS. Which measure?
A. Degree of financial leverage
B. Payback period
C. Gordon model
D. Degree of operating leverage

18. EBIT Rs 2,00,000 and interest Rs 50,000. DFL is about
A. 4
B. 0.75
C. 1.33
D. 2

19. Interest coverage ratio is
A. EBIT / interest
B. interest / EBIT
C. PAT / interest
D. sales / interest

20. Machine cost Rs 1,20,000, scrap Rs 20,000, average PAT Rs 25,000. ARR is about
A. 50%

B. 25%
C. 20.8%
D. 35.7%

21. A bond never matures and pays ₹100 interest every year. Required return is 8%. Which formula?
A. V = I x PVIFA + F x PVIF
B. V = I / kd
C. P0 = D1 / (ke - g)
D. V = F / (1 + kd)^n

22. You have the cost and weight of equity, preference shares and debentures and need the overall cost of capital. Which formula?
A. MCC
B. WACC = sum of Wi x Ki
C. Kd = I(1 - t) / NP
D. Ke = D1/NP + g

23. Rf = 6%, Rm = 12%, beta = 1.2. Cost of equity by CAPM is
A. 7.2%
B. 12%
C. 18%
D. 13.2%

24. The process of finding the future value of a present sum using compound interest is
A. amortisation
B. annuity
C. discounting
D. compounding

25. A project is accepted under NPV if
A. NPV equals investment
B. NPV < 0
C. NPV = payback
D. NPV > 0

26. Debentures, bonds, term loans and public deposits are
A. borrowed funds
B. reserves
C. retained earnings
D. owners' funds

27. Capital budgeting deals with
A. day-to-day management of cash and working capital of the firm
B. payment of dividends to the equity shareholders each year
C. short-term borrowing from banks to meet seasonal needs
D. long-term investment decisions

28. If Rs 10,000 is invested at 10% p.a. for 3 years (annual compounding), the terminal value is
A. Rs 13,100
B. Rs 11,000
C. Rs 13,000
D. Rs 13,310

29. Sales rise 10% and you want the effect on EPS. Which measure?
A. Degree of financial leverage
B. Profitability index
C. Degree of operating leverage
D. Degree of combined leverage

30. Inflows are different each year (30,000; 40,000; 40,000...). Which payback formula?
A. PI = PV of inflows / Investment
B. Payback = Investment / Annual inflow

C. Payback = E + B/C
D. IRR interpolation

31. Purchase of new plant and machinery is an example of the
A. investment decision
B. financing decision
C. liquidity decision
D. dividend decision

32. The value of a perpetual (irredeemable) bond is
A. F / (1 + kd)
B. I x kd
C. I / (1 + kd)
D. I / kd

33. Sales Rs 10,00,000, VC Rs 6,00,000, FC Rs 2,00,000. DOL is
A. 1.33
B. 4
C. 5
D. 2

34. If expected EBIT is above the indifference point, the better plan is the one with
A. only preference shares
B. more equity
C. more debt
D. no financing

35. Using debt to raise equity returns when return on investment exceeds the cost of debt is
A. dilution of control
B. capital rationing
C. arbitrage
D. trading on equity

36. In case of conflict between NPV and IRR for mutually exclusive projects, which is preferred?
A. ARR
B. Payback
C. IRR
D. NPV

37. A share bought at Rs 100 paid a dividend of Rs 8 and was sold at Rs 112. The rate of return is
A. 12%
B. 20%
C. 28%
D. 8%

38. A bank wants to know whether cash profit can meet interest and principal instalments. Which ratio?
A. Operating leverage
B. DSCR
C. Interest coverage ratio
D. ARR

39. In an amortisation schedule, interest for a year is calculated on the
A. opening balance
B. closing balance
C. original principal always
D. instalment

40. The formula for compounding m times a year is
A. FV = PV x (1 + i/m)^(n x m)
B. FV = PV x (1 + i)^(n/m)
C. FV = A x [(1+i)^n - 1] / i
D. FV = PV / (1 + i)^n

41. A project costs ₹6,00,000 and gives equal inflows of ₹1,50,000 a year. Which method gives the recovery time?

A. NPV = PV of inflows - Investment
B. Payback = Investment / Annual inflow
C. ARR = Average PAT / Average investment
D. Payback = E + B/C

42. A zero-coupon bond with face value Rs 1,000 and 2 years to maturity at 10% yield is worth about

A. Rs 1,000
B. Rs 826
C. Rs 900
D. Rs 1,200

43. If the coupon rate is greater than the market yield, the bond sells at a

A. par
B. discount
C. premium
D. zero

44. The principle that a rupee today is worth more than a rupee in the future is the

A. law of diminishing returns
B. break-even principle
C. time value of money
D. going concern concept

45. The cost of equity from the Gordon model is

A. ke = D1 / P0 - g
B. ke = D1 / P0 + g
C. ke = g / D1
D. ke = P0 / D1

46. Deciding what proportion of profit to distribute to shareholders is the

A. investment decision
B. dividend decision
C. financing decision
D. liquidity decision

47. A scholarship pays ₹500 every year for ever. Which formula gives its present value?

A. PV = A / i
B. A = Loan / PVIFA
C. PV = FV / (1 + i)^n
D. FVA = A x [((1+i)^n - 1)/i]

48. An investor buys at ₹100, receives ₹8 dividend and sells at ₹112. Which formula gives the return?

A. [D1 + (P1 - P0)] / P0
B. PV = FV / (1 + i)^n
C. D / ke
D. D1 / (ke - g)

49. Investment Rs 1,00,000; inflows 30,000, 40,000, 40,000, 30,000, 20,000. The payback period is

A. 3 years
B. 2.5 years
C. 3.5 years
D. 2.75 years

50. If DOL is 3 and sales rise by 10%, EBIT rises by

A. 13%
B. 3%
C. 30%
D. 10%

Answer key - Set 1

1. **B**	11. **A**	21. **B**	31. **A**	41. **B**
2. **D**	12. **B**	22. **B**	32. **D**	42. **B**
3. **B**	13. **D**	23. **D**	33. **D**	43. **C**
4. **B**	14. **A**	24. **D**	34. **C**	44. **C**
5. **A**	15. **D**	25. **D**	35. **D**	45. **B**
6. **C**	16. **B**	26. **A**	36. **D**	46. **B**
7. **C**	17. **A**	27. **D**	37. **B**	47. **A**
8. **C**	18. **C**	28. **D**	38. **B**	48. **A**
9. **D**	19. **A**	29. **D**	39. **A**	49. **D**
10. **B**	20. **D**	30. **C**	40. **A**	50. **C**

Answers with explanations

1. If the coupon rate is less than the market yield, the bond sells at a

Answer: B. discount

Why correct: A coupon below market yield pays less, so the price falls: discount.

A is wrong: Double face value is not possible.

C is wrong: Premium is when coupon is higher.

D is wrong: Par is when they are equal.

2. The present value of a perpetuity is

Answer: D. A / i

Why correct: A perpetuity pays forever, so PV = A / i.

A is wrong: A x (1+i) is a one-year FV.

B is wrong: A/(1+i) is a one-year PV.

C is wrong: A x i would be one year's interest.

3. ARR on average investment is calculated as

Answer: B. average annual PAT / average investment x 100

Why correct: ARR = average annual profit after tax / average investment x 100.

A is wrong: NPV is a separate method.

C is wrong: Cash inflow less depreciation is not the formula.

D is wrong: Total inflow over life is not ARR.

4. An annuity is a series of

Answer: B. equal cash flows at regular intervals

Why correct: An annuity is a series of equal cash flows at regular intervals.

A is wrong: Loans with no repayment are not annuities.

C is wrong: Unequal, irregular flows are not an annuity.

D is wrong: One-time payments are lump sums.

5. With DOL = 2 and DFL = 1.33, the combined leverage is about

Answer: A. 2.67

Why correct: Combined leverage = 2 x 1.33 = 2.67.

B is wrong: 0.67 divides.

C is wrong: 3.33 adds.

D is wrong: 1.5 is wrong.

6. The pecking order of financing is

Answer: C. internal funds, debt, hybrid securities, new equity

Why correct: Pecking order: internal funds first, then debt, then hybrids, last new equity.

A is wrong: Hybrids first is wrong.

B is wrong: That is the reverse order.

D is wrong: Debt first ignores internal funds.

7. An annuity due, compared with an ordinary annuity, has payments at the

Answer: C. beginning of each period

Why correct: In an annuity due payments fall at the start of each period.

A is wrong: Middle is not used.

B is wrong: End of life is not an annuity.

D is wrong: End of period is an ordinary annuity.

8. Two rates give a positive and a negative NPV and you need the rate where NPV is zero. Which formula?

Answer: C. IRR by interpolation

Why correct: A positive and a negative NPV bracket the rate; interpolation finds IRR.

A is wrong: Payback is time.

B is wrong: NPV gives a value at one rate.

D is wrong: ARR is accounting.

9. A bond pays no interest and is redeemed for ₹1,000 after 2 years. Which formula?

Answer: D. V = F / (1 + kd)^n

Why correct: A zero-coupon bond is just a discounted lump sum: V = F/(1+kd)^n.

A is wrong: I/kd needs interest.

B is wrong: It has no interest.

C is wrong: FV compounds forward.

10. Deciding the debt-equity ratio is an example of the

Answer: B. financing decision

Why correct: The debt-equity ratio decides how funds are raised, so it is a financing decision.

A is wrong: Liquidity decisions manage short-term cash.

C is wrong: Investment decisions choose where to put funds.

D is wrong: Dividend decisions choose how much profit to distribute.

11. The future value of Rs 5,000 deposited at the end of each year for 4 years at 8% is about

Answer: A. Rs 22,530

Why correct: FV = 5,000 x FVIFA(8%,4) = 5,000 x 4.5061 = Rs 22,530.

B is wrong: 20,000 ignores interest.

C is wrong: 16,560 is a PV-type figure.

D is wrong: 27,000 is too high.

12. The three broad decisions of the finance function are

Answer: B. investment, financing and dividend

Why correct: The finance function takes three broad decisions: what to invest in, how to raise the money, and how much profit to pay out.

A is wrong: Recruitment, training and appraisal are HR functions.

C is wrong: Planning, staffing and directing are management functions.

D is wrong: Production, sales and purchase are operating functions.

13. WACC uses

Answer: D. weights of each source multiplied by its cost

Why correct: WACC weights each source's cost by its share of capital.

A is wrong: Equity alone ignores other sources.

B is wrong: A simple average ignores weights.

C is wrong: The latest source is marginal cost.

14. You will receive ₹13,310 after 3 years and want its worth today at 10%. Which formula?

Answer: A. PV = FV / (1 + i)^n

Why correct: To bring a future sum to today, discount it: PV = FV/(1+i)^n.

B is wrong: FV = PV(1+i)^n compounds forward.

C is wrong: ke = D1/P0 + g is cost of equity.

D is wrong: PVA is for a series.

15. An investment of Rs 1,00,000 with equal annual inflows of Rs 25,000 has a payback period of

Answer: D. 4 years

Why correct: Payback = 1,00,000 / 25,000 = 4 years.

A is wrong: 3 years is wrong.

B is wrong: 2.5 years inverts the ratio.

C is wrong: 5 years is wrong.

16. The present value of Rs 1,000 a year for 3 years at 10% is approximately

Answer: B. Rs 2,487

Why correct: PV = 1,000 x PVIFA(10%,3) = 1,000 x 2.4869 = Rs 2,487.

A is wrong: 3,000 ignores discounting.

C is wrong: 3,310 is a compounded value.

D is wrong: 2,000 is too low.

17. EBIT rises 10% and you want the effect on EPS. Which measure?

Answer: A. Degree of financial leverage

Why correct: EBIT change affecting EPS is financial leverage.

B is wrong: Payback is time.

C is wrong: Gordon is valuation.

D is wrong: DOL links sales to EBIT.

18. EBIT Rs 2,00,000 and interest Rs 50,000. DFL is about

Answer: C. 1.33

Why correct: DFL = EBIT / (EBIT - interest) = 2,00,000 / 1,50,000 = 1.33.

A is wrong: 4 is wrong.

B is wrong: 0.75 is the inverse.

D is wrong: 2 is wrong.

19. Interest coverage ratio is

Answer: A. EBIT / interest

Why correct: Interest coverage = EBIT / interest.

B is wrong: Interest / EBIT is inverted.

C is wrong: PAT/interest is not the formula.

D is wrong: Sales/interest is not the formula.

20. Machine cost Rs 1,20,000, scrap Rs 20,000, average PAT Rs 25,000. ARR is about

Answer: D. 35.7%

Why correct: Average investment = (1,20,000 + 20,000)/2 = 70,000; ARR = 25,000 / 70,000 = 35.7%.

A is wrong: 50% is wrong.

B is wrong: 25% is wrong.

C is wrong: 20.8% uses initial investment.

21. A bond never matures and pays ₹100 interest every year. Required return is 8%. Which formula?

Answer: B. V = I / kd

Why correct: A bond that never matures is perpetual: V = I/kd.

A is wrong: PVIFA + PVIF needs a maturity.

C is wrong: That is the share formula.

D is wrong: F/(1+kd)^n needs a maturity.

22. You have the cost and weight of equity, preference shares and debentures and need the overall cost of capital. Which formula?

Answer: B. WACC = sum of Wi x Ki

Why correct: WACC = sum of weight x cost of each source.

A is wrong: MCC is the marginal cost of capital.

C is wrong: That is cost of debt.

D is wrong: That is cost of equity.

23. Rf = 6%, Rm = 12%, beta = 1.2. Cost of equity by CAPM is

Answer: D. 13.2%

Why correct: Ke = 6% + 1.2 x (12% - 6%) = 13.2%.

A is wrong: 7.2% is only the premium part.

B is wrong: 12% ignores beta.

C is wrong: 18% is wrong.

24. The process of finding the future value of a present sum using compound interest is

Answer: D. compounding

Why correct: Finding future value with compound interest is compounding.

A is wrong: Amortisation spreads a loan.

B is wrong: An annuity is a series of equal payments.

C is wrong: Discounting finds present value.

25. A project is accepted under NPV if

Answer: D. NPV > 0

Why correct: A positive NPV means inflows beat the cost after discounting, so accept.

A is wrong: NPV equals investment is not the rule.

B is wrong: Negative NPV means reject.

C is wrong: NPV vs payback is not the rule.

26. Debentures, bonds, term loans and public deposits are

Answer: A. borrowed funds

Why correct: Debentures, bonds, loans and deposits must be repaid, so they are borrowed funds.

B is wrong: Reserves belong to owners.

C is wrong: Retained earnings belong to owners.

D is wrong: Owners' funds are equity and reserves.

27. Capital budgeting deals with

Answer: D. long-term investment decisions

Why correct: Capital budgeting evaluates long-term investment projects.

A is wrong: Cash and working capital is short-term.

B is wrong: Dividends are a payout decision.

C is wrong: Short-term bank borrowing is working capital finance.

28. If Rs 10,000 is invested at 10% p.a. for 3 years (annual compounding), the terminal value is

Answer: D. Rs 13,310

Why correct: 10,000 x (1.10)^3 = 10,000 x 1.331 = Rs 13,310.

A is wrong: 13,100 is a wrong calculation.

B is wrong: 11,000 is only one year of interest.

C is wrong: 13,000 uses simple interest (10% x 3 years).

29. Sales rise 10% and you want the effect on EPS. Which measure?

Answer: D. Degree of combined leverage

Why correct: Sales change to EPS is combined leverage.

A is wrong: DFL starts at EBIT.

B is wrong: PI is a project ratio.

C is wrong: DOL stops at EBIT.

30. Inflows are different each year (30,000; 40,000; 40,000...). Which payback formula?

Answer: C. Payback = E + B/C

Why correct: Unequal inflows need cumulative recovery: Payback = E + B/C.

A is wrong: PI is a ratio.

B is wrong: That is for equal inflows.

D is wrong: IRR is a rate.

31. Purchase of new plant and machinery is an example of the

Answer: A. investment decision

Why correct: Buying plant and machinery commits funds to long-term assets: investment decision.

B is wrong: Financing is about raising funds.

C is wrong: Liquidity is about day-to-day cash.

D is wrong: Dividend is about profit distribution.

32. The value of a perpetual (irredeemable) bond is

Answer: D. I / kd

Why correct: A perpetual bond pays interest forever, so V = I / kd.

A is wrong: F/(1+kd) is a one-year value.

B is wrong: I x kd is meaningless.

C is wrong: I/(1+kd) is a one-year PV.

33. Sales Rs 10,00,000, VC Rs 6,00,000, FC Rs 2,00,000. DOL is

Answer: D. 2

Why correct: Contribution = 10,00,000 - 6,00,000 = 4,00,000; EBIT = 2,00,000; DOL = 4,00,000 / 2,00,000 = 2.

A is wrong: 1.33 is wrong.

B is wrong: 4 divides by fixed cost wrongly.

C is wrong: 5 is wrong.

34. If expected EBIT is above the indifference point, the better plan is the one with

Answer: C. more debt

Why correct: Above the indifference EBIT, debt gives higher EPS, so more debt is better.

A is wrong: Only preference shares are not the answer.

B is wrong: More equity is better below the point.

D is wrong: No financing is not an option.

35. Using debt to raise equity returns when return on investment exceeds the cost of debt is

Answer: D. trading on equity

Why correct: Using debt to raise equity returns when ROI > cost of debt is trading on equity.

A is wrong: Dilution of control is a share issue effect.

B is wrong: Capital rationing limits funds.

C is wrong: Arbitrage exploits price gaps.

36. In case of conflict between NPV and IRR for mutually exclusive projects, which is preferred?

Answer: D. NPV

Why correct: NPV measures absolute wealth added, so it is preferred when it conflicts with IRR.

A is wrong: ARR ignores time value.

B is wrong: Payback ignores time value.

C is wrong: IRR can mislead for mutually exclusive projects.

37. A share bought at Rs 100 paid a dividend of Rs 8 and was sold at Rs 112. The rate of return is

Answer: B. 20%

Why correct: Return = (dividend + capital gain) / cost = (8 + 12) / 100 = 20%.

A is wrong: 12% counts only the capital gain.

C is wrong: 28% adds wrongly.

D is wrong: 8% counts only the dividend.

38. A bank wants to know whether cash profit can meet interest and principal instalments. Which ratio?

Answer: B. DSCR

Why correct: DSCR checks whether cash profit covers interest plus principal.

A is wrong: Operating leverage is cost structure.

C is wrong: Interest coverage ignores principal.

D is wrong: ARR is investment return.

39. In an amortisation schedule, interest for a year is calculated on the

Answer: A. opening balance

Why correct: Interest each year is charged on the opening balance, which falls as principal is repaid.

B is wrong: Closing balance is not used.

C is wrong: Original principal is not used every year.

D is wrong: Interest is not charged on the instalment.

40. The formula for compounding m times a year is

Answer: A. FV = PV x (1 + i/m)^(n x m)

Why correct: For m compounding periods a year, rate becomes i/m and periods n x m.

B is wrong: That wrongly divides time.

C is wrong: That is the annuity FV formula.

D is wrong: That is the discounting formula.

41. A project costs ₹6,00,000 and gives equal inflows of ₹1,50,000 a year. Which method gives the recovery time?

Answer: B. Payback = Investment / Annual inflow

Why correct: Equal inflows: Payback = Investment / Annual inflow = 6,00,000 / 1,50,000.

A is wrong: NPV gives value, not time.

C is wrong: ARR is a return, not a time.

D is wrong: E + B/C is for unequal inflows.

42. A zero-coupon bond with face value Rs 1,000 and 2 years to maturity at 10% yield is worth about

Answer: B. Rs 826

Why correct: Zero-coupon value = 1,000 / (1.10)^2 = 1,000 / 1.21 = Rs 826.

A is wrong: 1,000 ignores discounting.

C is wrong: 900 is wrong.

D is wrong: 1,200 is a compounded figure.

43. If the coupon rate is greater than the market yield, the bond sells at a

Answer: C. premium

Why correct: A coupon above the market yield pays more than investors need, so the price goes up: premium.

A is wrong: Par is when coupon equals yield.

B is wrong: Discount is when coupon is below yield.

D is wrong: Zero is not possible.

44. The principle that a rupee today is worth more than a rupee in the future is the

Answer: C. time value of money

Why correct: Money today can be invested to earn, so a rupee now is worth more than later: time value of money.

A is wrong: Diminishing returns is an economics law about inputs.

B is wrong: Break-even is a cost-volume concept.

D is wrong: Going concern is an accounting assumption.

45. The cost of equity from the Gordon model is

Answer: B. ke = D1 / P0 + g

Why correct: From the Gordon model, ke = D1/P0 + g (dividend yield plus growth).

A is wrong: Subtracting g is wrong.

C is wrong: g/D1 is meaningless.

D is wrong: P0/D1 is inverted.

46. Deciding what proportion of profit to distribute to shareholders is the

Answer: B. dividend decision

Why correct: Deciding what share of profit goes to shareholders is the dividend decision.

A is wrong: Investment buys assets.

C is wrong: Financing raises funds.

D is wrong: Liquidity manages short-term cash.

47. A scholarship pays ₹500 every year for ever. Which formula gives its present value?

Answer: A. PV = A / i

Why correct: A payment of Rs 500 for ever is a perpetuity: PV = A/i.

B is wrong: A = Loan/PVIFA is for loans.

C is wrong: Discounting one sum is different.

D is wrong: FVA is for a fixed term.

48. An investor buys at ₹100, receives ₹8 dividend and sells at ₹112. Which formula gives the return?

Answer: A. [D1 + (P1 - P0)] / P0

Why correct: Return = (dividend + price gain) / purchase price.

B is wrong: That is discounting.

C is wrong: That is for fixed dividends.

D is wrong: That is Gordon.

49. Investment Rs 1,00,000; inflows 30,000, 40,000, 40,000, 30,000, 20,000. The payback period is

Answer: D. 2.75 years

Why correct: Cumulative inflow after 2 years = 70,000; 30,000 more needed from year 3's 40,000 = 0.75 year, so 2.75 years.

A is wrong: 3 years rounds up.

B is wrong: 2.5 years is wrong.

C is wrong: 3.5 years is wrong.

50. If DOL is 3 and sales rise by 10%, EBIT rises by

Answer: C. 30%

Why correct: EBIT change = DOL x sales change = 3 x 10% = 30%.

A is wrong: 13% adds.

B is wrong: 3% divides.

D is wrong: 10% ignores leverage.